

Fearnleys Dry Bulk Weekly

Jun 18, 2025





Capesize/Newcastlemax

Last week, we wrote:

To summarize, we thought a rally was coming, but gave up on it in late May - but then the market spiked.

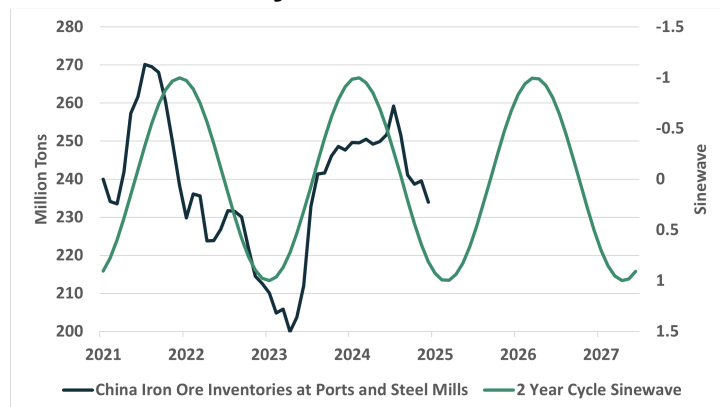
The market is in a topping phase now, we think, supported by last week's weakening Pacific market and a high Cape/Pmx ratio. However, Atlantic market tightness prevails, and it is very hard to say at what point that ends.

The topping phase is most likely moving toward a downward phase now. C5 is falling as the fiscal year-end fixing is past us. That, along with the Bauxite downseason, will weigh on the market in the next couple of months. However, the Brazilian "high season" will be a bullish factor.

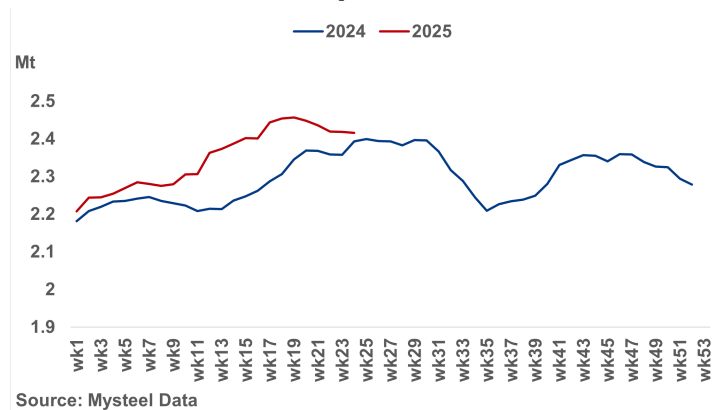
A few notes on fundamentals:

- The top left chart displays the development of China's iron ore inventories since 2021. The average inventory cycle duration is about two years, which suggests further draws until a bottom in Q4.
- The top right chart compares China's hot metal output this year vs 2024. The higher year-on-year output is not likely to continue, as iron ore and steel prices are softening, and steel production curbs are likely to be implemented. A stimulus is underway, but we do not think this will come into play before next year.
- The bottom right chart displays a bullish fundamental shift, as it reflects the increasing shipment volumes from the Atlantic. This development is likely to continue in the coming years.
- Total shipment volume growth is about 2% lower than last year through week 24. The BCI5TC has averaged a bit over 15kpd ytd, vs a bit over 23kpd in the same period last year. Our market forecast for this year was and is an average in the mid-teens, and most likely lower than in 2023 (16kpd).

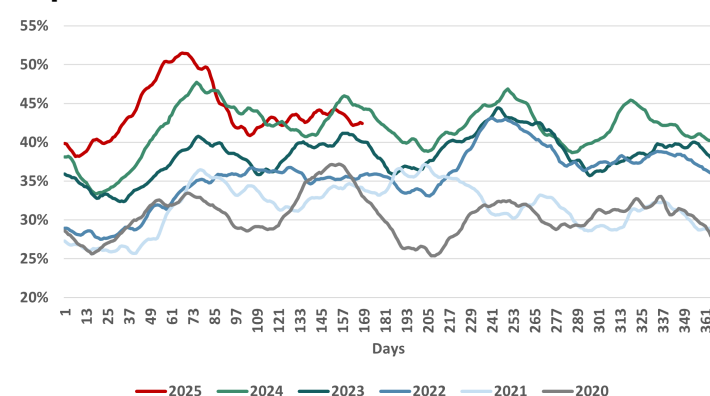
China Iron Ore Inventories at Ports and Steel Mills, vs 2-Year Cycle Sinewave



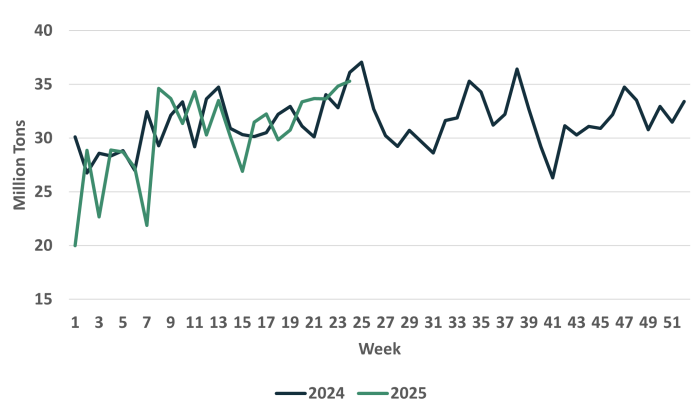
China Hot Metal Output 2025 vs 2024



Cape/Newc Atlantic/Pacific Ratio



Capesize/Newcastlemax Weekly Shipment Volumes 2024 vs 2025





Panamax/Kamsarmax

Last week, we wrote:

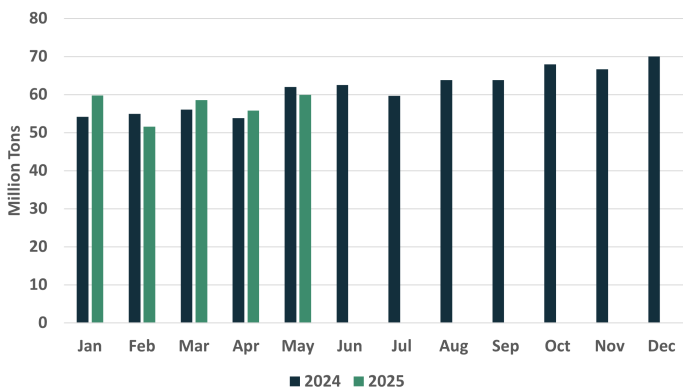
The fundamental situation remains unchanged. In this segment, coal, iron ore, and bauxite shipments growth is around 0%, and total grains growth is slightly negative. However, Brazil and US grain shipments are positive year-on-year, which has supported the market.

We do not think there will be any major changes to fundamentals going forward. An index level of around 12kpd could thus be in the upper range of what current fundamentals "allow".

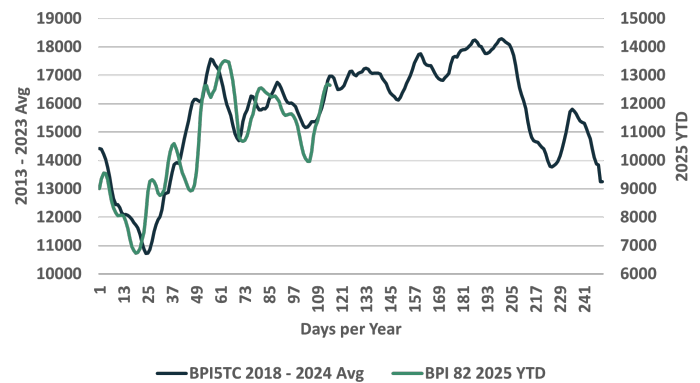
As of now, the market is firmer, so we expect sideways or slightly up over the next week.

Fundamentals, average seasonality, and the fact that spot markets have lost some steam over the last days strongly suggest the market is peaking here. If the last month's index trading range remains, the 5TC index could drop back into the 10ks over the next month or so.

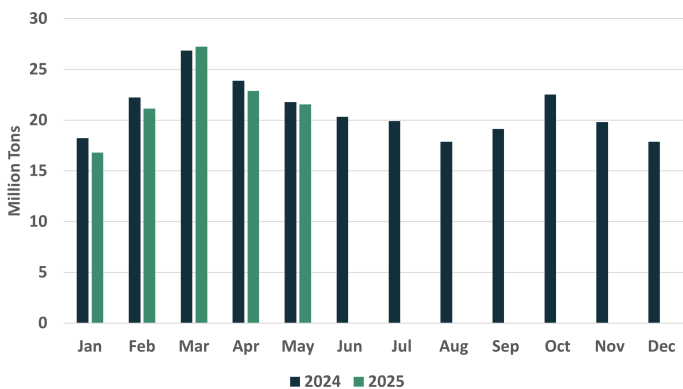
Panamax / Kamsarmax Coal Loadings by Month



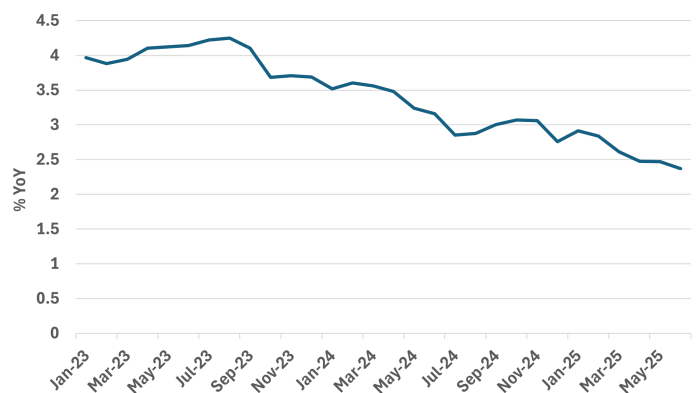
Kamsarmax Market Seasonality



Panamax / Kamsarmax Grain Loadings by Month



Panamax / Kamsarmax Fleet Growth





Supramax/Ultramax

Fundamentals remain negative, with total shipment volume growth running at about 0%, against supply growth of about 5%.

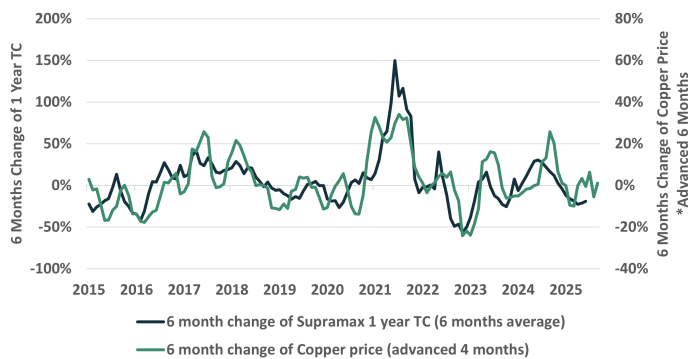
We do not see much chance of this changing over the next 6 months, and therefore expect market levels to remain below that of last year.

Looking past this year, we think fundamentals will improve. Lower energy costs and lower interest rates are likely to be the main drivers behind the next upcycle. Lower energy costs are already causing a relative improvement in Europe's manufacturing activity, which, along with front-running of Trump's tariffs, has contributed to firmer Atlantic markets over the last month or so (for all segments).

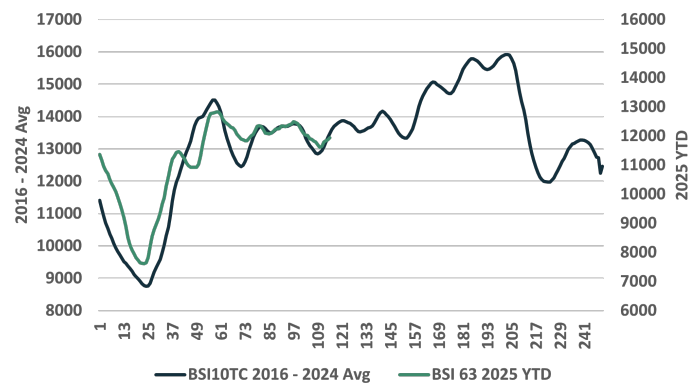
As long as energy costs remain at current levels (or drop further), global industry will receive a boost next year and in 2027. Coal prices probably have further room to fall, and oil markets are likely to be well supplied going forward, as IEA says, *"Barring big disruptions, global oil markets are set to be well supplied over the next 5 years, with production capacity growth far exceeding the increase in demand"*.

The bottom right chart displays that usually, lower yoy oil prices suggest the BDI will be higher yoy (and vice versa), with a 1-year lead.

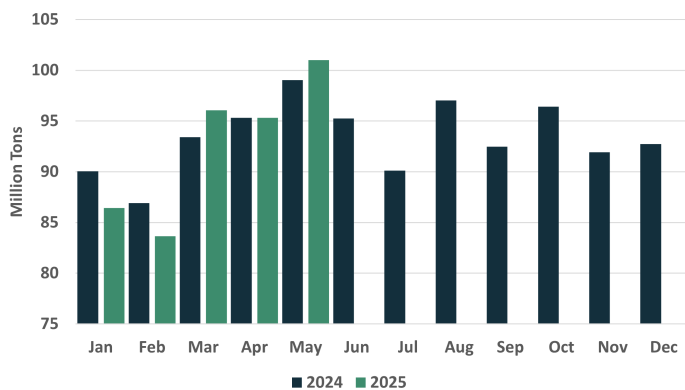
Copper Price Lead vs Supramax 1 Year TC 6 Months Change



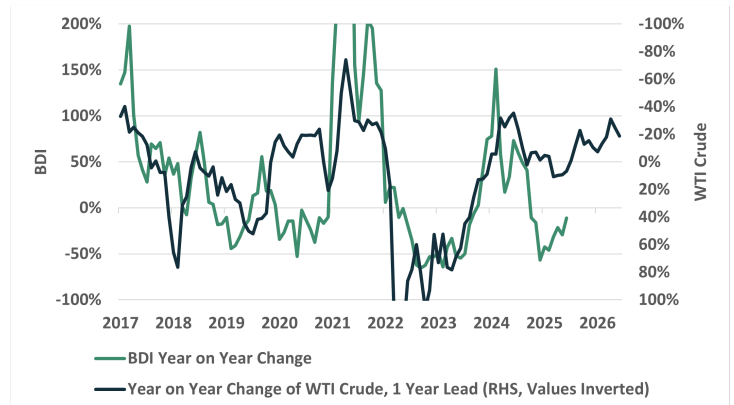
Supramax / Ultramax Market Seasonality



Supramax/Ultramax Monthly Shipment Volumes, by Year



WTI Crude Oil Price YoY Change, 1 Year Lead, vs BDI YoY





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